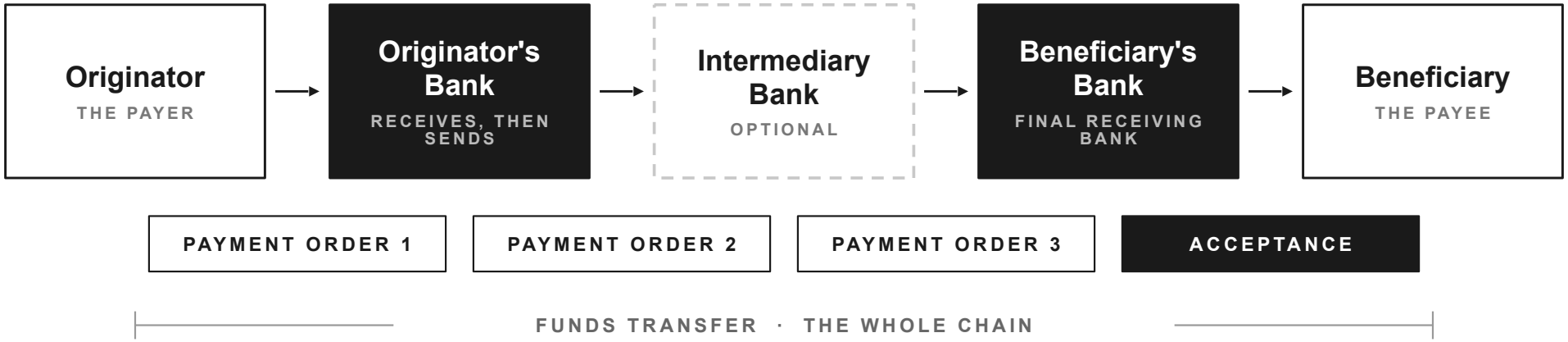
What Makes a Wire Different From ACH?

	WIRE	ACH
DIRECTION	**Credit push only**	Push (credit) or pull (debit)
PROCESSING	**Each payment individually, in real time**	Batched and settled in windows
FINALITY	**Final once accepted; no return right**	Returns and reversals built in
TYPICAL USE	**Large, urgent: closings, treasury, M&A**	Payroll, bill pay, recurring debits
GOVERNING LAW	**UCC Art. 4A; Reg J; system rules**	Nacha Rules; Reg E for consumers

Who Are the Parties to a Wire Transfer?



BRIEFING NOTE

Every bank in the middle is a receiving bank on the way in and a sender on the way out. Acceptance by the beneficiary's bank is the point of no return: before it, the originator can generally cancel; after it, the payment is final.

How Does the Money Actually Move?

FEDERAL RESERVE

Fedwire

Real-time gross settlement in central bank money, through banks' Fed accounts. Final when made. Governed by Reg J and Article 4A.

THE CLEARING HOUSE

CHIPS

Private large-value system. Prefunded balances and netting save liquidity. Rules choose New York law, so Article 4A applies.

CROSS-BORDER

Correspondents

Banks hold accounts with one another and debit or credit them. Often several hops, each a separate payment order.

NOT A RAIL

SWIFT is a messaging network. It carries the instructions between banks; the money settles on the rails above.

Why Should a Payments Lawyer Care?

ISSUE 01

Finality Invites Fraud

Business email compromise favors wires. Once the money lands, it is hard to claw back.

ISSUE 02

Who Bears Unauthorized Loss?

If the bank followed a commercially reasonable security procedure the customer agreed to, the customer can bear the loss (§§ 4A-202, 4A-203).

ISSUE 03

Consumers Fall in a Gap

Reg E excludes wires, so a consumer's domestic wire gets Article 4A, not Reg E error resolution. Cross-border consumer wires are remittance transfers.

ISSUE 04

AML and Sanctions Ride Along

The Travel Rule carries identifying information with transfers of $3,000 or more, and every hop screens against OFAC lists.